

Accounting for Business Combinations

Slide deck 5

Agenda

I. Preface on Business Combinations

II. Consolidation and the Concept of “*control*”

III. The preparation of the consolidated financial statements

A. Separate F/S collection and pre-consolidation adjustments to make them uniform

B. Aggregation of the separate F/S

C. Consolidation adjustments

- 1) Investment write-off, calculation of <<non-controlling interest>> and goodwill
- 2) Depreciation/amortization of plusvalues (minusvalues)
- 3) Elimination of intercompany transactions: receivables/payables/revenues/expenses
- 4) Elimination of intercompany profits on sale of goods
- 5) Elimination of intercompany profits on sale of long-lived assets
- 6) **Elimination of intercompany dividends**
- 7) Computation of NC net income

D. The completion of the work: the consolidated financial statements

IIIC-6. Elimination of intercompany dividends

IIIC-6. Elimination of intercompany dividends

When a subsidiary (Target) pays dividends to its parent (Acquirer) during an accounting period, the journal entries recorded by the two entities are as follows:

SUBSIDIARY	Retained earnings (- SE)	Cash (- A)
PARENT	Cash (+ A)	Dividend revenue (+ Rev)

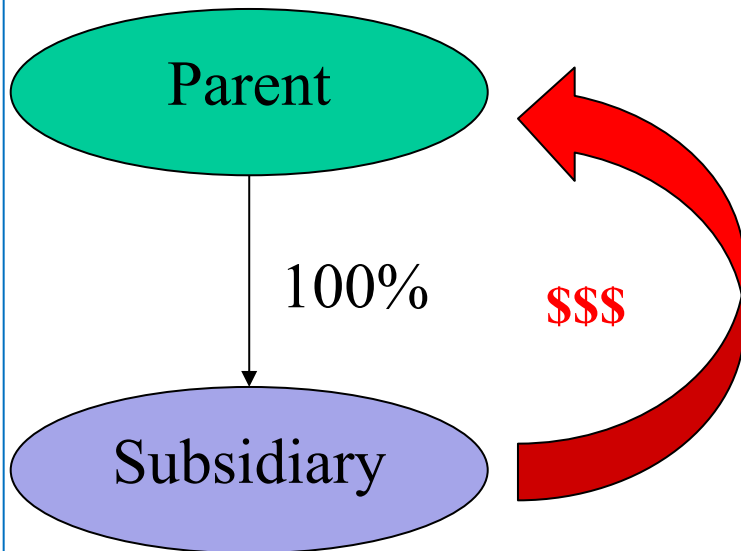
The subsidiary's journal entry has no impact on its income statement. The parent's journal entry affects its income statement.

Dividends are taxed only on a small portion (e.g., 5%); therefore, for consolidation purposes, we assume that taxation on dividends is zero (this assumption is used both in this course and in practice).

In light of the above, what consolidation adjustments are required? We distinguish between two cases: a wholly owned subsidiary (requiring only one adjustment) and a non-wholly owned subsidiary (requiring the same adjustment plus an additional one).

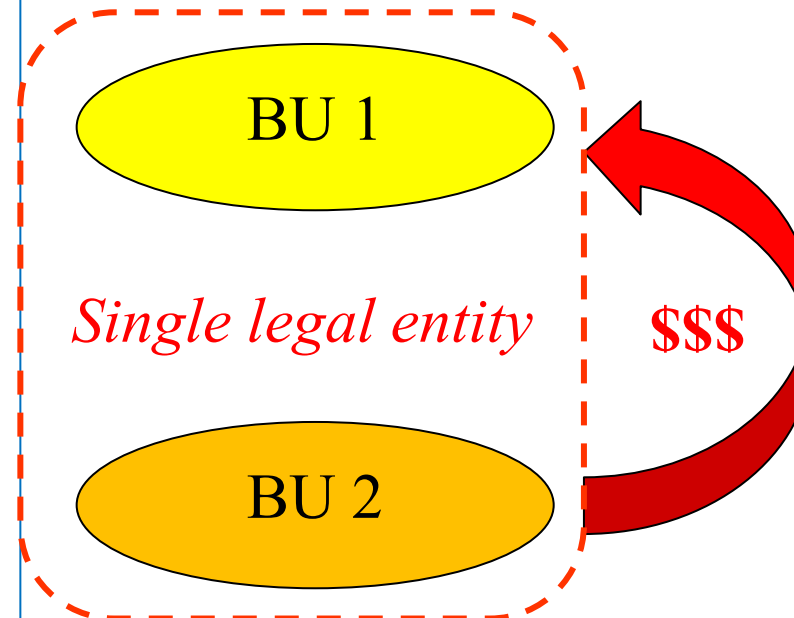
Wholly owned

SEPARATE FINANCIAL STATEMENTS (REAL)



In the accounting records of the companies, the transfer of cash between two separate legal entities is recorded through the journal entries described above.

CONSOLIDATED FINANCIAL STATEMENTS (SIMULATION)



Within a single legal entity, cash transfers between business units are not recorded (unless between bank accounts, with no change in total cash).

Wholly owned

If consolidation adjustments are required to eliminate the effects of intra-group transactions, which accounts should be adjusted?

In the case of a wholly owned subsidiary,

SUBSIDIARY

Retained earnings (- SE)

Cash (- A)

PARENT

Cash (+ A)

Dividend revenue (+ Rev)

CONS. ADJUSTMENT

Dividend revenue (- Rev)

Retained earnings (+ SE)

The increase in retained earnings offsets the elimination of dividend revenue; therefore, no further adjustments are required. **No tax effect is considered, as the parent does not pay taxes on dividend revenue.**

Wholly owned - ex

EXERCISE 14 SET “CONSOLIDATION EXERCISES”

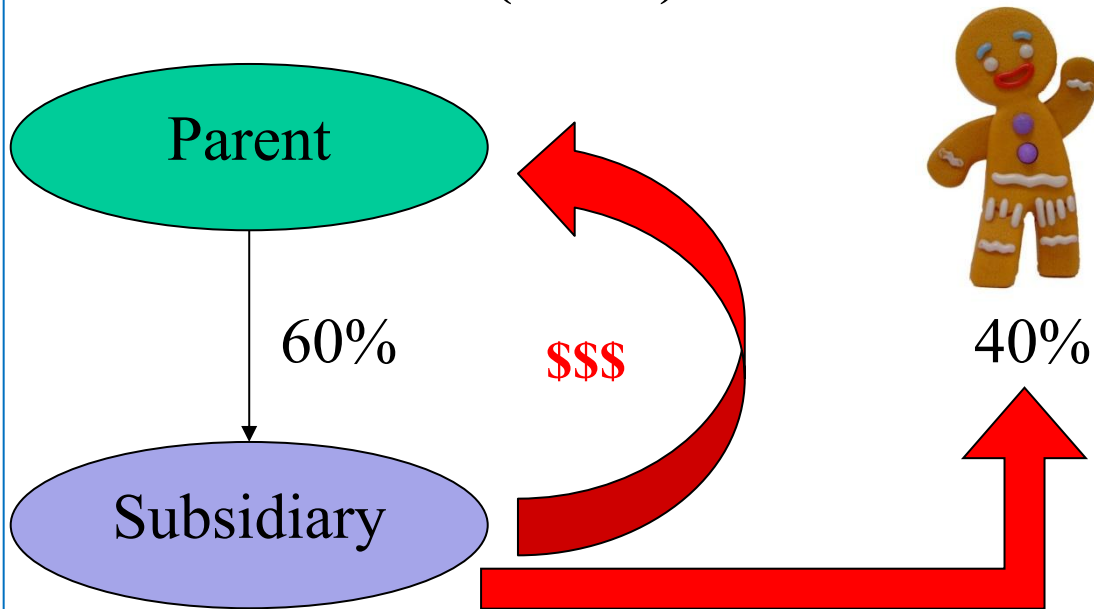
Alfa owns 100% of Beta.

During the year, Beta distributes € 2.000 dividends.

Prepare the necessary consolidation adjustments to eliminate the effects of this transaction.

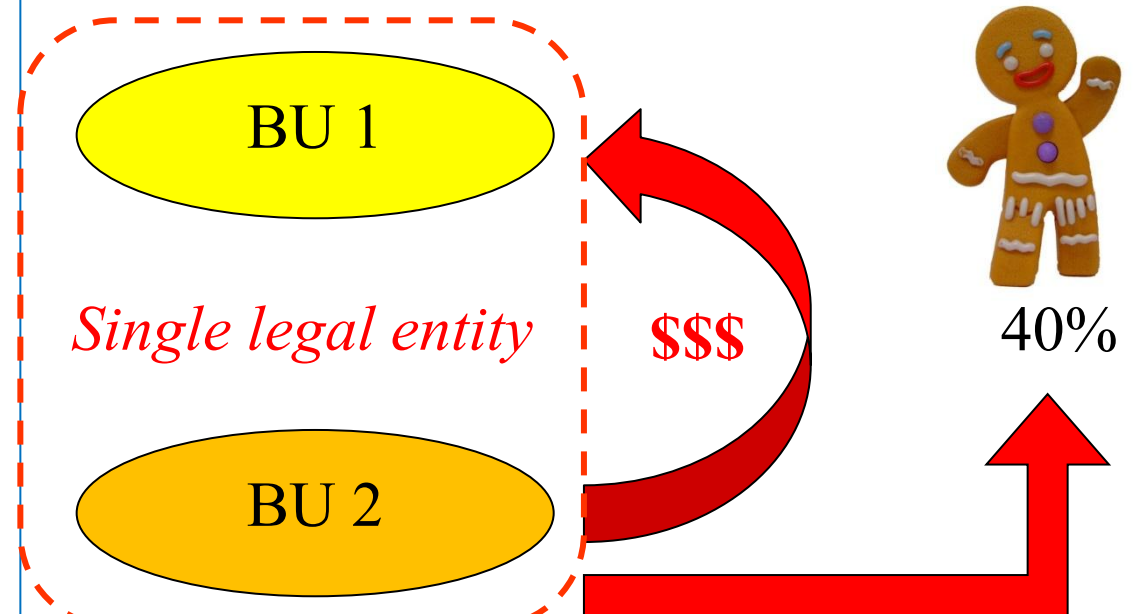
NON wholly owned

SEPARATE FINANCIAL STATEMENTS (REAL)



Cash is transferred between two legal entities, with part paid to non-controlling interests; the above journal entries are recorded.

CONSOLIDATED FINANCIAL STATEMENTS (SIMULATION)



In a single legal entity, cash transfers between business units are not recorded; **retained earnings must be adjusted for non-controlling interests.**

NON wholly owned

In the case of a NON wholly owned subsidiary,

- Retained earnings of the Target decrease for a certain amount (example: 200 €)
- Revenues accounted by the Parent (so, INFRAGROUP REVENUES) are worth only the % owned in the subsidiary (example: 130 € if the parent owns 65% of the shares issued by the subsidiary).
- Consequence: revenues decrease by % owned by the parent and retained earnings increase same amount.
- NEVERTHELESS, THIS IS NOT ENOUGH.
- Remember that, in case of minorities, the first consolidation adjustment (write off of the investment) provides for assigning to the minorities a portion of non-controlling interest, computed at the date of acquisition.
- Well, if we assigned (adj #1) to minorities their portion of equity based on the FV of net assets (“mystery box”) as it was at the date of acquisition, AND during the year the amount changed (example 70 €),
- WE ALSO HAVE TO DECREASE THE VALUE OF RETAINED EARNINGS ASSIGNED TO THE MINORITIES (NCI) AND RESTATE THE AMOUNT OF RETAINED EARNINGS PERTAINING TO THE GROUP.

NON wholly owned - ex

EXERCISE 15 SET “CONSOLIDATION EXERCISES”

Alfa owns 60% of Beta.

During the year, Beta distributes € 2.000 dividends.

Prepare the necessary consolidation adjustments in order to eliminate the effects of this transaction.

Further remarks

Please note the following:

1. Although there are two adjustments in substance for non-wholly owned subsidiaries, they are recorded in a single consolidation entry.
2. The adjustment will be clearer in the comprehensive example.
3. In the exam, it may not be specified whether dividends are paid during the year—pay attention to this.
4. Only intra-group dividends should be considered.